Memorandum

Paramount Skydance / Warner Bros. Discovery · Buy-side assessment

To Board of Directors, Paramount Skydance Corporation
From Ryan Barry
Date 29 September 2026
Re Acquisition of Warner Bros. Discovery: assessment and recommendation

Recommendation. At $31.00 a share, the deal is difficult to justify financially. Paramount opened at $19.00 in September 2025 and was at $25.50 when Netflix entered in November. The contest took the price to $31.00, 147% above WBD's unaffected price, and when Netflix declined to match, it walked away with a $2.8bn termination fee that Paramount paid. Netflix's agreement was more attractive financially because it excluded the declining cable networks: $27.75 a share for the studios and streaming only, with the networks staying with WBD's shareholders. Paramount's price buys the networks too. The deal is signed, so the board's job now is to deliver the synergies, pay down debt, and sell the cable networks only at the right price.

Top three risks

1. **Paramount overpaid.** The premium, ticking fee and Netflix fee total $50.9bn, 113% of what the $6bn synergy target is worth at Paramount's own 7.5x multiple of synergized 2026 EBITDA. Even full delivery would not earn it back; breakeven is $6.8bn a year. The $31 price is above every market-based valuation in WBD's own bankers' analysis, and only their DCFs reach it.
2. **Leverage depends on synergies that don't exist yet.** Pro forma net leverage is 6.3x before synergies against a 5.5x covenant. It reaches Paramount's 4.3x only if the full $6bn target is counted, which the credit agreement allows before any of it is achieved. WBD's earnings are also softer than reported: charging the share-based pay and recurring restructuring that management adds back, WBD's EBITDA is $7.5bn, not $8.8bn, and leverage before synergies is 7.0x.
3. **Goodwill is where any overpayment will sit.** My purchase price allocation puts $58.1bn, or 60% of the price, in goodwill; like-for-like it is 53%, twice the 26% in WBD's own 2022 deal. WBD already wrote off $9.1bn of goodwill in 2024. If synergies slip, another write-off is likely.

Cable networks: sell only above a floor price. The value in this deal is the studios, intellectual property and streaming, where WBD management projects EBITDA rising from $3.5bn to $8.4bn by 2030. The networks fall from $4.8bn to $3.2bn. Using WBD's bankers' own multiples and discount rates, a sale in 2028, the first full year after closing, beats keeping the networks only above about $17.3bn before tax, or 5.6x that year's EBITDA. Listed network companies traded at 4-5x in the bankers' analysis, so I recommend testing the market with $17.3bn as the floor and keeping the networks for their cash flow if no buyer meets it. A sale will not fix leverage: at 4.5x, net leverage before synergies rises from 6.3x to 7.5x. The debt has to come down through synergies and cash flow.

How the numbers were built. Every figure comes from the companies' SEC filings (10-Ks, 10-Qs, 8-Ks and WBD's March 2026 merger proxy) and is tagged to its source. An Alteryx workflow extracts 436 line items for both companies and reconciles them in 60 checks. An Excel databook (18 tabs, 882 formulas, 37 checks, all passing) builds the deal math, a quality-of-earnings bridge, net debt, the purchase price allocation, pro forma leverage and the networks analysis, and a seven-page Power BI dashboard presents the results. *Filings to 6 August 2026; synergies are Paramount's stated target, not verified.*